Sushant Muttreja vs Serious Fraud Investigation Office on 22 November, 2023

Author: Jyoti Singh

Bench: Jyoti Singh

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
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+ BAIL APPLN. 1287/2023
SUSHANT MUTTREJA .....
Through: Mr. Pramod Kumar Du
Advocate with Mr. Apoorv Aga
Manu Srivastava, Mrs. Prachi
Ms. Kanishka Lunia and Ms. A
Advocates.

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SERIOUS FRAUD INVESTIGATION
OFFICE .....
Through: Mr. Amit Tiwari, S
Counsel with Mr. Vednash, G
Mr. Shubham, Ms. Nupur and
Advocates.
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+ BAIL APPLN. 1289/2023
NISHANT MUTTREJA .....
Through: Mr. Pramod Kumar Du
Advocate with Mr. Apoorv Aga
Manu Srivastava, Mrs. Prachi
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BAIL APPLN. 1287/2023 and BAIL APPLN. 1289/2023

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CORAM:
HON'BLE MS. JUSTICE JYOTI SINGH

OR

% 22.11.2023 CRL. M. (BAIL) 1333/2023 (interim bail) in BAIL APPLN. 1287/2023 & CRL. M. (BAIL) 1327/2023 (interim bail) in BAIL APPLN. 1289/2023

1. CRL.M. (BAIL) 1333/2023 is an application preferred on behalf of the Applicant Sushant Muttreja S/o late Sh. Subhash Muttreja under Section 482 Cr.P.C. for interim bail in case CC/1313/2021 titled as 'Serious Fraud Investigation Officer vs Cosmic Structure Limited & Ors.', pending before the learned Additional Sessions Judge, Dwarka Courts, New Delhi.

2. CRL.M. (BAIL) 1327/2023 is an application preferred on behalf of the Applicant Nishant Muttreja S/o late Sh. Subhash Muttreja under Section 482 Cr.P.C. for interim bail in case CC/1313/2021 titled as 'Serious Fraud Investigation Officer vs Cosmic Structure Limited & Ors.', pending before the learned Additional Sessions Judge, Dwarka Courts, New Delhi.

3. It is a common case of the Applicants that M/s. Cosmic Structures Limited ('CSL') was incorporated on 20.10.2011 primarily for establishing real estate development business and the Applicants are the ex-promoters/ Directors. Company launched its various projects in 2012 but the real estate sector was hit by market downturn in 2014-2015, due to which the Applicants faced a huge financial slump and projects could not be completed. Between 2016-2018 various complaints were lodged by several investors, culminating into registration of multiple FIRs against the Applicants. In 2016, investors of CSL moved this Court by filing a winding up petition being Company Petition No. 152/2016 titled 'Rajni Anand v.

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The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 24/11/2023 at 02:22:59 Cosmic Structures Limited'. It is further stated that in the year 2021, SFIO filed a complaint against CSL and other accused including the Applicants under various provisions of the Companies Act being CC No. CC/1313/2021 in which regular bail was denied to the Applicants by order dated 06.03.2023.

4. It is stated in the present applications that in order to save the Company from liquidation and safeguard the interests of the investors, the Applicants in furtherance of their bona fide intentions proposed a Scheme of Compromise between the Company and its creditors for revival of the Company which was however rejected by the Company Court vide order dated 06.04.2023, on the ground that the Applicants were undergoing judicial custody. Subsequently, vide order dated 26.04.2022, another Scheme propounded by the Cosmic Victim's Association ('CVA') for an entity by the name of Alpha Corp. Pvt. Limited, was also dismissed by this Court on the ground that the Scheme did not envisage any upfront payment by the developer. Liberty was however granted to CVA to file a fresh Scheme with an upfront deposit of the threshold amount. A third scheme was

thereafter propounded again by CSL through rigorous efforts and negotiations with Good Living Infrastructure Private Limited, which proposed an infusion of Rs.300 crores for completion of all the six projects of CSL. Thereafter, Renowned Buildtech Private Limited agreed to invest Rs. 50 crores and collaborate with the Company on two Projects in furtherance of which ex-directors of CSL, filed their Scheme before this Court, proposing a deposit in the form of Bank Guarantee of Rs.50 crores. An affidavit was also filed by the builder stating that it was ready to give upfront Bank Guarantee of Rs.5 crores in support of the Scheme.

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5. Present applications are essentially predicated on an order dated 24.08.2023, passed by the Company Court where the Court has taken note of the submissions of the Applicants, who were produced in Court, that they had earlier filed Schemes for revival, which were rejected and that they wish to file a fresh Scheme for revival of the Company. Court has also taken note of a Scheme of Arrangement filed on behalf of CVA and Members of Assets Revival Society. Copy of the order has been filed with the application and relevant paragraphs relied upon by the Applicants read as under:-

> "29. In this petition i.e. CO. PET.-152/2016, there are approximately 5,500 investors in six projects. The Ex-Management of the Company- Cosmic Structures has today been produced before this Court pursuant to order passed yesterday i.e. 23rd August 2023. The said six projects are as follows:
>
> Project Project Appox. Commercial/Residential Name Name Plot Area Address Address Cosmic Plot No. 10, 10 Acres Commercial Corporate Tech Zone, Park -1 Yamuna (CCP-1) Expressway, Greater Noida Cosmic Plot No.5, 5 acres Commercial Corporate Sector 140, Park -2 Noida (CCP-2) Cosmic Plot No.1, 5 acres Commercial Corporate Sector 154, Park -3 Noida (CCP-3) Cosmic Plot No. 15, 10 acres Commercial/Residential Cruise KP Knowledge 5 Park-

Vakalatnama, Greater Noida This is a digitally signed order.

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30. Both Mr. Nishant Muttraja and Mr. Sushant Mutterja, the ex- Directors who are present, submit that they had earlier filed a scheme being Co. Appl. (M) 1/2020 which was dismissed at the time when the ex- Directors were in judicial custody. They wish to file a fresh scheme for revival of the

Respondent-company.

31. In addition, the M/s. Cosmic Victims Association has filed one Scheme of Arrangement (hereinafter, 'Scheme') being CO. Appl.(M) 6/2022 and Members of Assets Revival Society has also filed another Scheme being CO. Appl.(M) 7/2022.

32. Insofar as the valuation of the land where the six projects are located is concerned, the OL's initial valuation has indicated an approximate total value of less than Rs.200 crores. However, it is submitted by the allottees that as of today, the total amount paid by allottees is more than Rs.500 crores as per the report of the SFIO dated 12th April 2022.

33. Thus, the sale of land involved in the six projects, at this stage, would not be beneficial either to the allottees or to the other creditors who may have filed their claims in respect of the Respondent.

34. In view thereof: this Court would need to consider both the Schemes or any other Scheme, to determine whether another opportunity could be given to the Ex-Management for the revival of the Respondent- company or not, keeping in mind the interest of the allottees.

35. Let the propounders of the Schemes of Arrangement file a proper scheme on record giving the following details :-

> i) The total amount of investment that the propounder of scheme is willing to make, in terms of an upfront payment, to establish their bonafides.

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ii) The timelines for the following :-

> a) For obtaining the required approvals for recommencing the said six projects.
>
> b) Timeline for completion of different phases of the six projects.
>
> c) Commercial viability of the project for the propounder of the scheme and the developer of the said six projects.

36. The propounder of the scheme shall also place on record their respective affidavits in order to satisfy this Court, as to their credibility and why the Scheme ought to be accepted.

37. The propounder of the scheme shall also take into consideration:

> i) the amounts already paid by the allottees,

ii) the amounts due and payable by the allottees,

iii) the remaining units which are yet to be sold, and

iv) Revenue yet to be generated by the allotment of the units.

These schemes shall be filed within four weeks.

xxx xxx xxx

41. If there is any non-cooperation by the Ex-Management, any Scheme of Arrangement which they propound, shall not be deserved to be considered.

42. In addition, the OL is permitted to invite claims to enable this Court to have a comprehensive assessment of the liabilities of the Respondent Company. The OL Office may issue a notice to this effect in one English Newspaper and in Hindi Newspaper.

43. If the ex-Directors have not been released on bail by the next date of hearing, Production Warrants are issued to the Superintendent, Mandoli Jail, Harsh Vihar, New Delhi to produce them on the next date."

6. It is the case of the Applicants as argued by the learned Senior Counsel appearing on their behalf that it is a common ground between the Company and the investors that liquidation of the Company is not in the interest of the investors as substantial amounts have been invested by them in residential/commercial projects proposed by the Company and this fact is also noted by the Company Court in the order dated 24.08.2023. Applicants have made persistent efforts to revive the Company so that the projects can This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 24/11/2023 at 02:22:59 be completed. It is urged that in view of the order passed on 24.08.2023, Applicants be enlarged on interim bail for a period of four weeks so that effective steps can be taken towards revival Schemes in order to save the Company from liquidation. Since the Applicants are in judicial custody, this is hampering the finalisation of revival Schemes. It is further argued that the Applicants were granted interim bail in the past but have never misused the liberty or violated any condition of grant of bail and that the Applicants undertake that every effort will be made in four weeks towards revival of the Company and no extension of bail shall be sought beyond a period of four weeks from the date of release, if this Court releases the Applicants on interim bail for the limited purpose of revival of the Company.

7. Learned Senior Panel Counsel appearing on behalf of the Respondent candidly shares the concern regarding the interest of the investors who have infused substantial amounts out of their savings in the proposed projects and submits that he cannot have any objection against the Applicants taking sincere steps towards revival of the Company. He, however, submits that in case the Court is

inclined to grant interim bail for this limited purpose to the Applicants, it should be without prejudice to the rights and contentions of the Respondent on the merits of the matter and with a caveat that the Applicants be bound by their undertaking that they shall not seek extension of the bail, if granted and the order passed by this Court should not affect the hearing on the regular bail applications, as the allegations against the Applicants are very serious.

8. I have heard the learned Senior Counsel for the Applicants and learned Senior Panel Counsel for the Respondent. From a reading of the averments in the applications, orders passed by the Company Court in This is a digitally signed order.

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> (i) Applicants shall furnish personal bonds in the sum of Rs.2,00,000/- (Rupees Two Lakhs Only) each with one sound surety of the like amount each to the satisfaction of the Trial Court;
>
> (ii) Applicants shall furnish their mobile numbers to the Investigating Officer and will keep the same operational and active at all times;
>
> (iii) Applicants shall not leave the country without permission of the Trial Court;
>
> (iv) Applicants shall not tamper with the evidence nor otherwise indulge in any act or omission that is unlawful or that would prejudice the proceedings in the pending trial and will not This is a digitally signed order.

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(v) Applicants shall report to the SHO/IO of the concerned Police Station, twice a week on Monday and Thursday at 03.00PM, post their release; and

(vi) Upon expiry of the period of interim bail, Applicants shall surrender before the concerned Jail Superintendent.

9. It is made clear that this order will not impact the merits of the regular bail applications pending before this Court and all rights and contentions of the parties in the said applications are left open. Applicants shall remain bound by the undertaking given to the Court that no extension of interim bail shall be sought.

10. Applications are allowed and disposed of in the aforesaid terms.

11. Copy of the order be sent to the concerned Jail Superintendent for information and necessary compliance.

BAIL APPLN. 1287/2023 and BAIL APPLN. 1289/2023

12. List on 30.01.2024.

JYOTI SINGH, J NOVEMBER 22, 2023/shivam This is a digitally signed order.

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